# Unit - 1 Management: An Overview

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## 1.0 Objectives

After completing this unit, you will be able to:

- Understand the meaning and definition of management;
- Explain various characteristics of management;
- Know various perspective of management;
- Determine whether management is a art, science, or profession;
- Describe different views regarding management versus administration;
- Point out various limitations of management.

## 1.1 Introduction

Management is a commonly used word. The concept of management is used in every sphere of our modern life. Common men without even knowing the meaning of management make its use in his day-to-day life. Peter Drucker observes that without the leadership of management, a country's resources of production remain resources and never become production. Management converts a mob into an organization, and human efforts into performance. 'Management' is the catalyst which makes possible rapid economic and social development in freedom and with human dignity.

In an industry there are five factors of production - machine, men, material, money and methods. The success of every business depends upon how efficiently above factors of production are used. And these factors of production are controlled by 'Management', so management is the backbone of every industry, trade and commerce.

The area of management is receiving much attention at the present time because the organizations and their environment are becoming more and more complex. In a dynamic society, the management is able to anticipate changes and their impact take appropriate measures to deal with those changes. Krietner R observes, "Management is a problem solving process of efficient use of scarce resources in a changing environment." A successful management is not only effective in achieving the goals, but also efficient in utilizing the resources.

## 1.2 What is Management?

Management experts have given different meanings of management. It is very wide term and is used as a noun, as a process, as a discipline, as a profession:

**1. Management as a Noun:** Management as a noun refers to all those persons who are engaged in managing a business organisation and have both responsibility and authority to manage an organization and for those who are responsible for the work of others at all levels.

**2. Management as a Process:** Management as a process refers to a continuous and dynamic business process. Planning, organizing, staffing, directing, coordination, communication, motivation and control are the important aspects of modern managerial process.

**3. Management as a Discipline:** Management as a discipline refers to various principles, practices and techniques of management of a business organization. Like Economics, Sociology and Philosophy it is an entire different field and new subject. As a branch of knowledge, it denotes a code of conduct for managers and prescribes the techniques, methods and skills of managing things. It is a young discipline.

**4. Management as a Profession:** Like medicine, law and teaching, management is also a profession. In any profession a specialized knowledge, experience and competency is needed, likewise these things are also needed in studying management.

## 1.3 Management: Definitions

There are a number of definitions of the term 'management'. For the purpose of a detailed study, it will be beneficial to classify some of the important definitions under the following categories:

1. Productivity or Efficiency Oriented Definitions.
2. People Oriented Definitions.
3. Decision-making and Leadership Oriented Definitions.
4. Result or Goal Oriented Definitions.
5. Functional or Process Oriented Definitions.
6. Environment Oriented Definitions.

**1. Productivity or Efficiency Oriented Definitions**: Productivity or efficiency oriented definitions emphasize that management is the art of getting maximum productivity in the best and cheapest way. This category includes the followings definitions:

**In the words of F.W. Taylor** known as the Father of Scientific Management, "Management is the art of knowing what you want to do and seeing that it is done in the best and cheapest way".

**In the words of William F. Glueck,** "Management is effective utilization of human and material resources to achieve the enterprise's objectives".

The productivity-oriented definitions ignore the "human side" aspect and hence facing criticism by large number of well-known management practitioners and academicians.

**2. People Oriented Definitions**: Now a lot of emphasis is being given to the 'human aspect' of management. In fact, the main subject of management is 'man'. Management is all about working in and through human relationships.

**Lawrence Appley** (Former President, American Management Association) defines "Management is personnel administration" he also writes that, "Management is the development of people and not the direction of things." According to him, "Working satisfactorily with people is not part of the management job-it is the entire job". **In the words of Stoner, Freeman and Gilbert,** "Management is a specialty in dealing with matters of time and human relationships as they arise in organizations".

These definitions refer to a class of people within an organization. Managing people and their work relationships is an important part of management.

**3. Decision - making and Leadership Oriented Definitions:** There are certain authors who admit management as a function of decision-making and leadership. Some of such definitions are as follows:

**According to Ross Morre,** "Management means decision making". **In the word of Stanley Vance,** "Management is simply the process of decision-making and control over the actions of human beings for the purpose of attaining predetermined goals".

Some writers think of management as a kind of leadership; a leadership of ideas, knowledge, power and relationships. **According to Prof. Clough,** "Management is the art and science of decision making and leadership". **According to Newman, Warren and McGill,** "Managing is the guidance, leadership, and control of the efforts of a group of individuals towards some common goal."

**4. Result or Goal Oriented Definitions:** Goal-oriented definitions highlight that management or managing is the activity which is concerned with getting things done through and with other people.A few definitions are as follows:

**Mary Parker Follett defines,** "Management is the art of getting things done through people". **According to Lawrence Appley,** "Management is the accomplishment of result through the efforts of other people".In the words of **Paul Hersey and Blanchard,** "Management is the process of working with and through individuals and groups and other resources to accomplish organisational goals."

**5. Functional or Process Oriented Definitions:** These are the most widely accepted definitions of management. Such definitions describe the functions that are carried out by managers, to perform the jobs effectively. Some important definitions of functional nature are as under:

**Henri Fayol writes,** "To manage is to forecast and to plan, to organize, to command, to coordinate and to control." **According to James Lundy,** "Management is a distinct process insisting of planning, motivating and controlling the efforts of others towards specific objectives." **According to George R. Terry,** "Management is a distinct process consisting of planning, organizing, actuating, and controlling, utilizing in each both science and art, and followed in order to accomplish pre-determined objectives."

**According to Flippo and Munsinger,** "Management is fundamentally a process of planning, organizing, directing and controlling activities that will lead to the effective fulfillment of objectives." **Dalton E. McFarland defines management as** "The process by which managers create, direct, maintain, and operate purposive organizations through coordinated, cooperative human efforts."

**6. Environment Oriented Definitions:** Both internal and external Environment largely influences management activities. Many experts have widened the process view of management by adding environmental dimension to it. Some of such definitions are as follows:

**According to Weihrich and Koontz,** "Management is the process of designing and maintaining an environment in which individuals work together in groups, towards efficiently accomplishing the selected aims." **In the words of Kreitner,** "Management is the process of working with and through others, to achieve organisational objectives in a changing environment. Central to this process is the effective and efficient use of limited resources in the dynamic environment."

**In the words of Robert Albanese,** "Management is the work of creating and maintaining environments in which people can accomplish goals efficiently and effectively. These environments involve the integrated use of human, financial, and natural resources for the purpose of achieving goals." **Thus**, management is an ability to create and design an environment in which people work with full capacity, and they develop the ability to cope with a changing environment.

**In brief** management is the social process of planning, organizing, staffing, directing and controlling the work and resources for the achievement of organizational goals in a dynamic environment. To conclude, management may be finally regarded as:

- Formulation of plans, policies and objectives;
- Securing men, material, machinery, money and methods for their achievement;
- Putting all of them into operation;
- Directing and motivating the men at work;
- Supervising and controlling their performance; and
- Providing maximum satisfaction and service to employer, employees.

## 1.4 Characteristics of Management

An analysis of above mentioned definitions reveals the following characteristics of management:

**1. Management is a Human Activity as well as a Process of Organized Activity:** Management is the development of people and not the direction of things. It deals with human organizations. Animals have no organizations and hence cannot be managed. Moreover, animals are trained, not managed **(Carlisle).** The core aspect of management is 'Man' and arguably the most important one, as personnel are the core resource and modus operandi of all businesses. Management is a process of organized activity. It is concerned with the efficient use of available resources. This process is made up of some interrelated elements - planning, organizing, leading and controlling.

**2. Management is Concerned with Group Efforts/Activity :** An organization basically comes into existence to achieve certain objectives which are attained more easily by a group than by an individual. No individual can satisfy all his desires by himself. Hence he unites with his fellow - beings and works in an organized group to achieve what he cannot achieve individually.

Management always prefers group efforts. Lawrence Appley call it "Efforts of the people", while J.L. Massie call it "Co-operative group". Management plans, organizes, co-ordinates, directs and control the group efforts, not the individual efforts.

**3. Distinct Process:** Management is a distinct process performed to determine and accomplish stated objectives by the use of human beings and other resources. Different from the activities, techniques and procedures, the process of management consists of such functions as planning, organizing, staffing, directing, co-coordinating, motivating and controlling.

**4. Management is Dynamic:** Management has to be performed continuously, in an ever-changing business environment. It is also concerned about the alteration of environment itself so as to ensure the success of the enterprise.

Management is not a static activity. It adapts itself to the new changes in society. It introduces innovation in its styles and methods. Management not only adopts innovative changes, but also introduces modern development in the field of management methodology like "Management of change".

**5. Management is a Social Process:** According to Newman, management is a social process because managerial actions are chiefly concerned with relations between people. The Process of management is largely social because it involves the interrelationships of people at work. Brech writes, "Since it is chiefly the activities of people that are coordinated and regulated by management, it is correctly called a social process."

Management consists in getting things done through others. While dealing with people management directs co-ordinates and regulates the efforts of the human beings in order to achieve the desired results. In this sense, management is a social process. It has a social obligation to make optimum use of scarce resources for the benefit of the community as a whole.

**6. Management is Goal Oriented Activity:** According to Theo Haimann, "Effective management is always management by objectives". Haynes and Massie opine that without objectives, management would be difficult, if not impossible.

Every managerial activity has certain objectives which may be expressed or implied. These objectives are determined by top administration. Group efforts are directed towards the achievement of some predetermined goals. Management is concerned with establishment and accomplishment of these objectives. Success of managers is generally measured by the extent to which objectives are achieved. Armstrong says, "Management is a priori goal-oriented, not open-ended. It exists to help in achieving particular desired-ends."

**7. Management is Concerned with Managing Effective and Efficient Use of Resources:** Effective use is one which produces results while efficient use is one which produces such results with the least possible resources. Thus producing more with the resources available means increases in productivity. Management is concerned with optimized productivity per person or optimized unit of resources.

**8. It Involves Decision Making:** Decision making is the ultimate object of managerial process. A manager does everything through decision-making. Manager decides the course of action, strategies, policies and programmes through decision making process. Drucker says, "Whatever a manager does, he does through making decisions". Thus, management is always a decision-making process.

**9. Universal in Character:** In the words of Henry Fayol, "Be it a case of commerce, politics, religion, war in every concern there is management function to be performed." Management is required in all types of organizations. Wherever there is some human activity, there is management because management is a universal concept and its principles and techniques are used all over the world irrespective of the levels of development. According to Geoge Terry, "We are all managers of our own lives, and the

practice of management is found in every facet of human activity."

**10. Management is an Art of Getting Things Done:** According to Koontz and O'Donnell, management is the art of getting things done through and with people in formally organized groups. A manager does not do any operating work by himself; rather he has the authority to get it done through others. In fact, it is when he gets the sense of responsibility for accomplishment then he is a manager.

**11. Separate Identity:** Management represents a separate class of managerial personnel who are quite different from the identity of workers and capitalists. It is a class of administrators and planners. Managers need not to be owners. In modern industrial society, Labour, Management and Capital are different entities.

**12. It is Pervasive at All Levels:** Management activity is pervasive at all level of organisation, e.g. top level, middle level and supervisory level. Every manager at top, middle and supervisory levels perform the same managerial functions and activities.

**13. Management is a System of Authority:** Authority is considered to be the base for performance of managerial functions. Authority is the power to compel men to work in a certain manner. Management cannot work in the absence of authority since it is a rule-making and rule-enforcing body. There is a chain of authority and responsibility among people working at different levels of the organisation.

Authority flows from top to the bottom across all the levels of managerial hierarchy. This system is known as the managerial hierarchical system of authority. Today, modern management is a synthesis of official authority, authoritarian command, humanitarian approach and personal power arising from moral worth and personality.

**14. Management is Inter Disciplinary Subject:** Although management is a distinctive discipline, a number of other subjects have their influence and relationship with it. Subjects like anthropology, sociology, psychology, political science, economic and various other social science subjects have association with it. Management draws and uses the principles and knowledge of these disciplines.

**15. It is Intangible:** Management is invisible force. Its presence can be felt by its results like quality improvement and increased output. As pointed out by Terry, management is intangible and it is an unseen force. Its presence is often evidenced by the results of its efforts that is, adequate work output, satisfactory work climate, employee satisfaction etc.

**16. Management is Creative Activity:** Management is a creative activity. It makes things happen. It is the dynamic activity which uses human, physical, financial and informational resources efficiently and effectively for creating wealth. Peter Drucker says, "Management is a major responsibility for creative action." It creates new jobs, new wealth and new skills.

**17. Art as well as Science:** Management is a science since its principles are of universal in nature. Management is an art as the results of management depend upon the personal skill of managers. The art of the manager is essential to make the best use of management science. Thus management is both science and art.

**18. It is a Profession:** Management is a young and emerging profession. It has systematic and specialized body of knowledge, prescribed qualifications to enter the profession, the goal of providing service, and code of conduct for managers. It can be taught as a separate discipline or subject. With the advent of large-scale business, the management is now entrusted in the hands of professional managers.

19. **It is Integrating or Coordinating Process:** Management does the important work of integrating

the work done by others. It is concerned with the coordination of all activities and resources. The essence of management lies in unifying the individual efforts into a team effort. Koontz and O'Donnell write, "Coordination is the essence of management."

Managers try to strike a happy balance between enterprise objectives and individual goals. According to Newman, managers are needed to convert disorganized resources of men, machines and money into useful, productive enterprises.

**20. Other Characteristics**

- Management is relationship building within and outside the organisation.
- Management is concerned with ideas, things and people.
- Management is an environment oriented activity.
- Management has its own tools and techniques.
- Management is leadership responsibility, not just an activity.
- Management is concern with performance results and accomplishment.
- Management has distinct identity and entity.

## 1.5 Different Perspectives of Management

**1. Bureaucracy:** In the past, management was looked as a command and control model whereby people from the top in succession direct their subordinates what they were supposed to do and achieve, and get feed back to control whether they are following the directions given or not. This model gave rise to bureaucracy. In this model, people look upward for any directions and decisions. The process of taking decisions and actions becomes very lengthy since it goes first upwards and returns downwards. Since many people are involved, the written instructions predominate for giving directions and feedback and this involving a lot of paperwork. This type of management structure is common in most Government organizations.

**2. Co-operative Establishments:** Some people gave importance to group effort and maintained that the task of management is to create a cooperative environment and, therefore, this aspect is given more importance. Collective farming, cooperatives have their birth in this concept. The management techniques were developed as directed elected leaders than by pure managers.

**3. Socio-technical View:** People were thought more as a vehicle of work and organizations were primarily though as 'people' organizations. However, when resources were required in terms of process and equipment, organizations became socio-technical in nature. The human labour as well as machinery was visualized as a part of a system - without which both these could not work. The organization was therefore thought to be a socio-technical function, thereby requiring a technical process.

**4. System Aspect of Management:** An organization is simply an input-process-output system which works continuously. Inputs such as material, money, machines, people, technology etc. undergo change in terms of products or services and then are provided as output to customers. Customers pay for such services and from the money received you again buy input, again process it and offer and output. Thus, this is a continuous.

**5. Management as a Process of Functions:** As a process, management refers to what management does, i.e., the function performed by managers. According to Henry Fayol, the father of modern management, "management is a process of interrelated functions i.e. planning, organizing coordinating, directing, motivating and controlling. Every manager accomplishes the objectives of his organisation by

following this process. This process ensures better utilization of resources for accomplishment of objectives."

6. **Decision Making System:** Since management takes decisions all the time it was felt that if we concentrate on the process of decision making as a management's main concern, it will reward in terms of results. Thus, decision making acquired a meaningful importance in management. Throughout the life of an organization, management takes decisions and thus it was felt that major management attribute is decision making. Peter F. Drucker, believe whatever a manager does, he does through making decisions. Decision-making is a process of choosing between alternatives after consideration of the likelihood of various outcomes. Success of managers largely depends upon the quality of their decisions.

7. **Management is the organ of Business:** Peter Drucker views management as an organ of a business. According to him "it is a multi-purpose organ that manages a business and managers and manages worker and work." Without this organ a business enterprise or an industrial society cannot exist. Drucker also explain, "Management is the organ of the institution. It has no function in itself, indeed no existence in itself. Management divorced from the institution it serves is not management."

8. **Management as a Class or Elite:** Sociologists view the terms 'management' as collective term. They use the term 'management' to refer those persons or elite who directs and supervise the work of others. From this point of view, organization members can be put into two classes-managers and non-managers. Managerial class is elite of brains and education. This class commands knowledge power due to its specialized training. Managers accomplish their work by directing the work of others.

9. **Management is an Art of Getting Things Done:** "Getting things done" means to get tasks and activities carried out. It implies that management is not a mere philosophy but a highly performance-oriented function. Management gets things done through people, comprising of both managers, subordinate and staff members.

"Getting things done" through the people is really an art, which consists of a range of skills acquired and refined in the course of practice. The skills which are required to get things done through people include conceptual skills, technical skills, administrative skills, social skills and so on. In order to get things done through people, management has to plan the things which are to be done. This "planning" describes the formulation of objectives, strategies, policies and programmes at the top level of management. The tasks to be carried out for achieving the goals are to be determined and assigned to individuals and work units. It is called organisation. Then the roles or various position holders and their inter-relationships are to be designed and defined. Thus, the management means to get things done in an organized and disciplined manner.

10. **Management as a Career:** The term 'Management is also used to signify a career or an occupation devoted to managing the activities of organizations. Any person when joins a business enterprise as an executive or supervisory level, he is said to be in the management career or occupation.
Management has become a lucrative and challenging career path and source of livelihoods. Those who adopt management career devote their working lifetime to the practice of management. As a career or occupation, management is a board concept. It includes career opportunities in general management as well as in functional areas of management.

11. **"Management as the Development of People and Not the Direction of Things":** These are the words of Lawrence Appley. Management is the attainment of pre-determined objectives by the direction of human efforts on established lines. Managers do not wait for the future, but they make the future. The basic objective of management is to assist the entire organisation from top to bottom by

improving knowledge, skill, habits and attitudes that guide towards productivity.

There are two important elements which make up the 'art of management', namely human resources and physical resources. The term human resources include personnel administration consisting of manpower planning and development of manpower. The term physical resources include finance, raw materials, plant and machinery, buildings, etc. The task of the management is to manage and administer both these resources for the achievement of results. Management directs the human resources or men who make the best and the optimized use of physical resources. This ultimately accelerates productivity.

Management is the "development of people" because people have the capacity to develop and reach expectations in life. According to McGregor's theory of motivation, every individual like to undertake responsibility because his expectations in life is hidden in him. Every individual has the ability to solve the organisational problems and therefore, the management should develop the efficiency of the people which are hidden in them.

**12. Management as a Discipline:** A discipline is a branch of knowledge and instruction, a mental and moral training thus management as a discipline means a field of study which includes management principles, techniques, functions and problems. Management effectiveness requires the use of certain knowledge, skill and practice. In the present world, management has developed itself into a separate subject-discipline. It has its own basic principles, theories and subject contents. No doubt, management as a discipline has drawn most of its principles from sociology, Economics, Psychology etc.; it has now claimed in its own right as a discipline. The existence and popularity of M.B.A. (Master of Business Administration) courses in most of the Universities bear ample witness to this. As a result of its popularity and effectiveness, most of the managers, before taking up their jobs acquire such qualifications.

**13. Management as Leadership:** Leadership is an integral part-of management and it plays an important role in managerial functions. Peter Drucker considers leadership as a human characteristic which lifts a man's vision to higher foresight, raises a man's performance to higher standards. According to this concept, managers perform through leading or influencing. They diagnose and understand the situation, adapt their behaviour and communicate in a way that people can easily understand and accept. They have behavioural skill to close the gap between them and employees.

## 1.6 Management: Art, Science, or Profession?

In the field of management there is an age old controversy whether management is a science, an art or profession. This controversy has created a good deal of confusion about the nature of management. It is generally acknowledged that management involves some degree of skill. But beyond that there is an ongoing debate about just how management should be classified: as an art, a science, or a profession?

### 1.6.1 Management as an Art

According to Terry, art is "bringing about of desired results through the application of skill." Art is skillful application which depends entirely on the inherent capacity of a person which comes from within a person and which is learned from practice and experience. In this sense management is certainly an art as a manager uses his skill and knowledge in solving many complicated problems that confront him in working in his organization successfully. For making decisions each manager develops his own personal style and this style is something which can be associated more with art than with science.

Management is considered as an art rather than science mainly because managerial skill is a personal possession and is intuitive. Drucker says "Management is a practice rather than science." It is contended that neither it is possible nor is it desirable to accumulate this body of knowledge which is not transferable.

Management practitioners, argues that management is an art. In their view painting or poetry (or any other fine or literary art) requires three components: the artist's vision, knowledge of craft, and successful communication. In these respects management is an art, because it requires the same components. And therefore, just as artistic skill can be developed through training, so can managerial skill be developed in ways similar to those used in training artists.

It seems most likely that, for further some more time, the field of management will inclined more towards art than science. We are learning more about management every day and in many situations can now safely recommend a specific course of action. The use of computers has vastly improved our ability to make valid predications. But we are at present a long way from possessing the body of theory and accuracy of prediction that belong to science. Indeed, the file of management lags behind the behavioral sciences upon which it draws. A great deal remains to be learned about the interaction of people, about the social structure of organizations, and much more, Until our understanding is more complete, managers will have to rely on their own judgement, their intuition, and often on insufficient information. And so, although some aspects of management have become more scientific, much of management remains an art.

### 1.6.2 Management as a Science

In the ancient times it was felt that the skills of management cannot be codified and communicated. But today, it has been realized that the principles of management may be codified and communicated, this gave birth to the concept of management as a science. In the words of Keynes, "Science is a systematized body of knowledge which establishes relationship between cause and effect". Following are the essential features of science:

- ✓ Scientific principles are exact and have universal applicability without any limitation.
- ✓ It is a systematized body of knowledge.
- ✓ Scientific principles establish a cause and effect relationship between various factors.
- ✓ The validity of scientific principles can be verified and therefore, they provide a reliable basis for predicting future events.
- ✓ It uses scientific methods for observation.
- ✓ Scientific principles are evolved on the basis of continued observation.

Applying these features of science to management one may determine whether it qualifies as a science:

**1. Universal Application:** In the words of F. W. Taylor, "The fundamental principles of management are applicable to all human activities from our simplest individual acts to the working of our great corporations". Scientific principles have universal application. The knowledge of management has been accumulated and accepted with reference to general truths. Hence there are certain fundamental principles of management which can be universally applied.

**2. Systematized Body of Knowledge:** As a science, management is an organized body of knowledge built up by management practitioners, thinkers and philosophers over a period of years. Management science is a body of systematized knowledge accumulated and accepted with reference to the understanding knowledge accumulated and accepted with reference to the understanding of general truths concerning management.

**3. Cause and Effect Relationship:** Scientific principles establish cause and effect relationship among facts. The principles of management also establish cause and effect relationship, e.g., it is said that poor planning and wrong plant layout result in low productivity.

**4. Validity and Predictability:** Science is not mere knowledge or collection of facts. It becomes science only when the knowledge so gathered can be verified. The principles of management can also be verified for their validity. These have been put to severe tests and found to be valid. For example, the principle of unity of command states that a subordinate put under one boss will show better results than the subordinate who has to follow two or more bosses. By finding cause and effect relationship the principles of management can serve as a reliable basis for predicting future events.

**5. Use of Scientific Methods:** The management process makes use of scientific methods for observation. F. W. Taylor, the father of Scientific Management applied scientific techniques to studies of planning, organizing, staffing, motivating, etc.

**6. Continued Observation:** The principles of management have been developed after continuous observation. Its knowledge has been acquired through continuous and vigorous efforts of many theorists and practitioners over a period of years.

### 1.6.3 Limitations of Management as a Science

From the above discussion, it is clear that management is a science. But unlike Physics, Chemistry and Biology, it is not an exact science. Its principles cannot be considered as fundamental truths. At times, they may not bring desired results and may not have universal application. The science of management deals with human beings whose behaviour cannot be predicted. Thus, it is a 'soft science' or 'social science' like sociology and political science. As a pure science Management suffers from the following limitations:

- ✓ In management human behaviour cannot be predicted.
- ✓ Management lacks certainty about results.
- ✓ It does not consist on fundamental truths only.
- ✓ Its principles do not always have a universal application.

### 1.6.4 Management: A Science as well as an Art

Thus management has elements of both art and science. It is not pure science or pure art. It is a science as well as an art. According to the American Society of Mechanical Engineers, "Management is the art and science of preparing, organizing and directing human efforts to control the forces and utilize the material of nature for the benefit of men." As Cossa has said, "Science requires art, art requires science, each being complimentary to each other." There is no hard and fast line between art and science of management. Management as science will have to solve problems and establish principles which might be applied with benefit to the management as art.

So we can say management is a science since its principles are of universal in nature. Management is an art as the results of management depend upon the personal skill of managers. The art of the manager is essential to make the best use of management science. Thus management is both science and art.

### 1.6.5 Management as a Profession

Is management a profession? The answer to this question will largely depend on the meaning one assigns to the term 'profession'. According to the dictionary, profession is a "calling in which one professes

to have acquired specialized knowledge which is used either in instructing, guiding or advising others." Hodge and Johnson have defined the term profession "as a vocation requiring some significant body of knowledge that is applied with high degree of consistency in the service of some relevant segment of society." Professionalism requires a body of codified knowledge which can be taught and which can be applied with some degree of universality.

Edgar H. Schein has compared key qualities of professionals with those of managers. In particular, Schein notes three characteristics. First, professionals base their decisions on general principles. That there are certain reliable management principles is shown by the very existence of management courses and training programs. Although the principles held in common by most managers and management theorists do not apply perfectly in all situations, particular guidelines have high reliability. For example, the simple behavioral guideline, "praise in public and criticize in private," usually works out well, although occasionally it backfires.

Second, professionals achieve professional status through performance, not through favoritism or other factors irrelevant to the work at hand. Unfortunately, in practice managers sometimes achieve managerial positions through their relationships with people in power or by other non-work-related factors. In addition, no agreed-upon body of objective standards exists by which to judge managerial performance.

Finally, professionals must be governed by a strict code of ethics that protects their clients. Because of the professional's expert knowledge in a specific area, clients are dependent upon him or her and, as a result, are in a vulnerable position. Schein argued that no management code of ethics has yet been developed for this.

Schein concluded that by some criteria management is indeed a profession, but by other criteria it is not. Today we can see many signs that management is working towards increased professionalism, both in business and in non business organizations. Current social pressures seem to be bringing about a heightened awareness of ethical standards. The growth of formal management training in graduate college and through executive development programs is spreading a body of accumulated knowledge and teaching the skills that are the hallmark of professionalism.

## 1.7 Management versus Administration

There is much disagreement among management experts about the use of the two terms - management and administration. Some experts say that there is no fundamental difference between management and administration, while others consider them as two separate functions. A few writers treat administration as a part of management. The views of management experts on this issue may be studies in the following manners:

1. Administration is Above Management
2. Management and Administration is Same Thing
3. Administration is a Part of Management Activities

**1. Administration is Above Management:** Oliver Sheldon initiated the distinction between

administration and management. He was followed by William Spriegel, Milward, Lansberg, Ordway Tead, Florence, etc. Administration determines the specific goals and lays down the broad areas within which those goals are to be achieved. Administration is a policy making function. Management, on the other hand, is concerned with carrying out the broad policies laid down by administration.

Oliver Sheldon has used this term as "Administration is the function in industry concerned with the determination of the corporate policy, the coordination of finance, production and distribution, thesettlement of the compass of organisation and the ultimate control of executive. Management proper is the function in industry concerned in the execution of policy, within the limits set up by the administration and the employment of the organisation for the particular objects set before it."

In the words of Spriegel, 'Administration is largely determinative, whereas management is essentially executive', thus administration relates to decision making and policy formulation whereas management is concerned with the execution of policies framed by the administration. Experts of management Mr. Florence and Mr. Tead state that "Administration is a process of thinking and management is as process or agency of actual operation".

**2. Management and Administration is Same Thing:** There are experts such as Henri Fayol, William Newman, Ernest Dale, McFarland, Koontz and O'Donnell, George Terry etc., who treat management and administration as same thing. They argue that there is no perceivable distinction between these two terms and these activities may be performed by the same person in an organization so no two sets of persons are required to perform administration and managerial function. The management process is the same in all organizations and at all levels in organisation.

From a practical point of view it is no use to put the curtain between management and administration. In fact, it is virtually impossible to place administration and management in two separate compartments in an undertaking.

Every manager has to perform the dual function simultaneously viz., thinking and doing functions. In general, it can be said that people at the top spend more time in discharging administrative functions while people at the lower level pay more attention to performing routine activities. In other words, top management is chiefly concerned with performing administrative activities, whereas managers at lower levels are predominantly concerned with executive functions. The figure 1.1 illustrates this aspect.

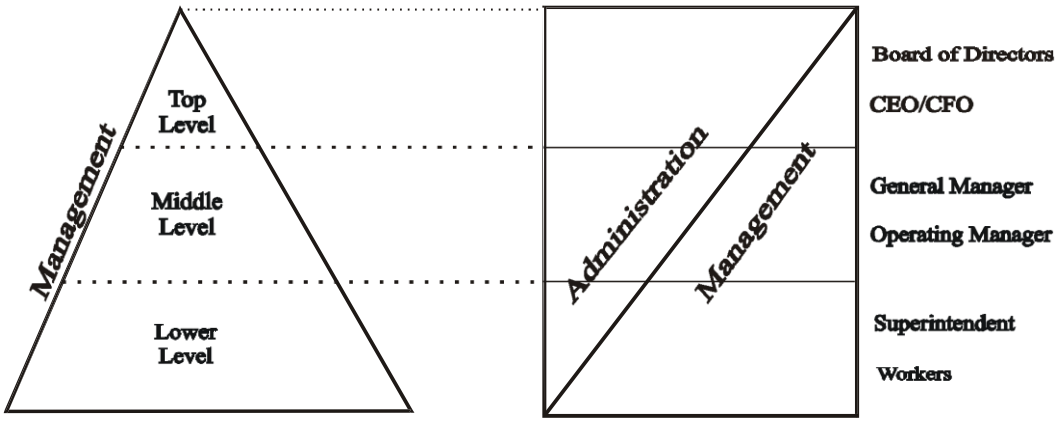


**Figure 1.1 Management vs. Administration**

Distinction between the above two words is misleading. It is very difficult in a modern business

enterprise to know what functions belong to administration and which ones are concerns to management

of an organization. From the above analysis it is clear that the two terms 'administration and management', are complementary to each other. An administrator must have the qualities of manager and similarly administrative qualities are must to be in managers.

**3. Administration is a Part of Management Activities:** The supporters of this view include Kimball and Kimball, Theo Haimann, E.F.I. Brech, James Lundi, and others. In the words of Brech, "Management is a social process entailing responsibility for the effective and economical planning and regulation of the operations." He further defines administration as a part of the management which is concerned with guidance integration, motivation and supervision of the personnel composing the enterprise, and carrying out its operations."

Thus administration is a part of management. Brech divides the management into three levels:

**(i) Top Level Management:** It comprises of managing director, executive director, board of directors and general manager etc. This is concerned with the formulation of policy and having a hand in motivating personnel and co-ordination of activities.

**(ii) Middle Level Management:** It consists of all departmental heads like finance, personnel, production and marketing managers etc. They work within the frame work of the goals, objectives and policies of organization decided by the management.

**(iii) Lower Level Management:** Officers, supervisors and foremen come in the lower management. They work under the direction and guidance of middle management of the business concern. This is mainly concerned with supervision, control and expert decisions on technologies of operations and also day-to-day activities.

This view about the management and Administration sees management as wider term than administration.

To conclude, we can say that in actual working of a business organisation or any business enterprise it is difficult to know exactly what functions belong to administration and which functions relate to management. Managing Director or General Manager of the business organisation is equally concerned with policy making and its effective implementation. These two terms are used interchangeably with each other.

## 1.8 Limitations of Management

All the limitations stated below are not so static. If the managers are efficient and knowledgeable, they can exercise control over these limitations. The important limitations include the following:

**1. Principles are not Static:** The principles of management are not static in nature. They require to be adjusted according to specific situations. One principle may be good for one enterprise at a time, but it needs not to be suitable for another.

**2. Changing Nature of Management:** As management is an emerging subject so, concepts of management also change frequently. New ideas are being innovated, new products with more uses and designs are introduced in the market, new likes and dislikes are developing in every buyer.

**3. Limitations of Social Science:** As management is a social science it suffers from the limitations of social service. Its subject matter is 'man'. The human behaviour is unpredictable because it changes with the change in situation. It lacks exactness and accuracy like physics or chemistry which are natural sciences. Hence management techniques change if the situation changes and the management use its discretion while applying it.

**4. Management is Culture Bound:** The culture and social customs of every country put influences on management. Social, Political and religious environments put much influence on it. A manager has to take decisions keeping in view of the cultural environment of the particular country or place.

**5. Changes in Internal or External Environment of Business:** With the change in business environment, business complexities have increased manifold. These changes have brought about changes in theory, practice and philosophy of management. Application of quantitative techniques along with the human relations and systems approach has increased the new horizon of management thinking. As a result some established principles have been refined.

**6. Lack of Appropriate Information:** Business decisions are taken on the basis of analysis of various information, collected from various sources. There found to be non-availability of up to date data relevant for decision - making. In the absence of up to date and correct information, accurate decisions can not be possible. This may the reasons that may of the business decisions went wrong after their implementation.

**7. Narrow Outlook of Managers:** It is an important obstruction to the development of management. The habit of getting work done by others develops dictatorship and authoritative attitude among a number a managers. Moreover, their workload is unnecessarily increased due to concentration of power.

**8. Change in Social Needs:** Management is a social science. It studies social needs which are always subject to change due to which the society becomes more extracting and demanding, while the management fails to fulfill the societies change needs. There fore management should change its principles, policies as the society dictate.

**9. A dictatorial Concept:** On one aspect management means development of the people and not the direction of things; but on the other the managers sometimes centralize their powers and exercise dictatorship to get the work done by subordinates Managers even do not hesitate to transfer their responsibilities on others.

However, this does not mean that these limitations minimize the importance of management. All these limitations are not so static; the managers can control these limitations depending upon their skills and practical experience.

## 1.9 Summary

The area of management is receiving much attention at the present time because the organizations and their environment are becoming more and more complex. And management is a problem solving process of efficient use of scarce resources in a changing environment. A successful management is not only effective in achieving the goals, but also efficient in utilizing the resources.

Productivity or efficiency oriented definitions of management emphasize that management is the art of getting maximum productivity in the best and cheapest way. People oriented definitions refer to a class of people within an organization. According to these definitions managing people and their work

relationships is an important part of management. Decision - making and leadership oriented definitions admit management as a function of decision-making and leadership. Goal-oriented definitions highlight that management or managing is the activity which is concerned with getting things done through and with other people. Functional or process oriented definitions describe the functions that are carried out by managers, to perform the jobs effectively. In environment oriented definitions many experts have widened the process view of management by adding environmental dimension to it.

So finally we can conclude that, management is the social process of planning, organizing, staffing, directing and controlling the work and resources for the achievement of organizational goals in a dynamic environment.

There is an ongoing debate on whether management is an Art or Science or Profession? Management is a science since its principles are of universal in nature. Management is an art as the results of management depend upon the personal skill of managers. The art of the manager is essential to make the best use of management science. Thus management is both science and art. Today we can see many signs that management is working towards increased professionalism, both in business and in non business organizations. Current social pressures seem to be bringing about a heightened awareness of ethical standards. The growth of formal management training in graduate college and through executive development programs is spreading a body of accumulated knowledge and teaching the skills that are the hallmark of professionalism.

Distinction between management and administration is very difficult in a modern business enterprise to know what functions belong to administration and which ones are concerns to management of an organization. From discussion in the above unit it is clear that the two terms 'administration and management', are complementary to each other. An administrator must have the qualities of manager and similarly administrative qualities are must to be in managers. Although there are some limitations of management but these limitations are not so static; if the managers are efficient and knowledgeable, they can exercise control over these limitations through their skills and practical experience.

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# Unit - 2 Functions and Roles of Management

**Structure of Unit**

2.0 Objectives
2.1 Introduction: The Management Process & Definitions
2.2 Functions of Management
2.3 Nature of Management Functions or Process
2.4 Relationship among the Management Functions
2.5 Levels of Management
2.6 Mintzberg's Managerial Roles
2.7 Management Skills versus Management Levels
2.8 Summary
2.9 Self Assessment Questions
2.10 Reference Books

## 2.0 Objectives

After completing this unit, you will be able to:

- Enhance the understanding regarding management and its process;
- Explain various functions of management and the nature of management function;
- Associate the relationship among the management functions;
- Know about the various levels of management exist in an organization;
- Point out various managerial roles suggested by mintzberg's and their importance;
- Determine at what level of management, which type of skills are needed.

## 2.1 Introduction: The Management Process & Definitions

The general approach to study management is to treat it as a process. According to Stoner, Freeman and Gilbert, "Process is a systematic way of doing things." In simple words, it is a step-by-step sequence. Management is a 'process' to emphasize that all managers engage in certain interrelated activities in order to achieve their desired objectives. The Management process assumes that the totality of what managers do can be divided into set of inter-related functions. Therefore, the study of management basically involves the study of managerial functions or process.

**Definitions:**

**1. In the words of George R. Terry,** "Management is a distinct process consisting of planning, organizing, actuating, and controlling, utilizing in each both science and art, and followed in order to accomplish predetermined objectives."

**2. In the words of Stanley Vance**. "Management is simply the process of decision making and control over the actions of human being for the express purpose of attaining predetermined goals."

3. In the words of Delton E. McFarland, "Management is a process by which managers create, direct, maintain and operate purposive organizations through systematic, coordinated and co-operative human effort."

**4. According to Dale S. Beach.** "Management is the process of utilizing materials and human resources to accomplish the designate objectives; it involves the organisation, direct, co-ordination and evaluation of people to achieve these objects."

These definitions envisage the following elements:

- Management is a distinct process.
- It consists of planning, organizing, coordinating, directing and controlling.
- It is meant to accomplish pre-determined objectives.

## 2.2 Functions of Management

It is very difficult to understand the real nature of management process without studying its various facets. In the process of managing, a manager performs various functions for the achievement of pre-determined objectives. Many authorities and scholars on management have tried to discuss the functions of management. But there is no unanimity among them about the nomenclature of the functions of management.

Functions of management can be broadly classified under following two categories:

**I. Operating Functions**
**II. Managerial Functions**

**I. Operating Functions:**

(1) Personnel;
(2) Production;
(3) Finance;
(4) Marketing.

Above functions of modern management are watching its respective departments like marketing functions would be seen by the marketing department, production functions by the production department of the business concern and likewise.

**II. Managerial Functions:** Henri Fayol classified management functions as follows: (i) forecasting and planning, (ii) organizing (iii) commanding, (iv) coordinating, and (v) controlling. Joseph Massie has given the seven functions of management, namely, decision making, organizing, staffing, planning, controlling, communicating and directing. G. R. Terry described managerial functions under four heads, which are: planning, organizing, actuating and controlling. Koontz and O'Donnell are of the opinion that, "the most useful method of classifying managerial functions is to group them around the activities of planning, organizing, staffing, directing and controlling." They have further said that in practice it is not always possible "to place all managerial activities neatly into these categories, since the functions tend to coalesce".

The greatest management expert Mr. Luther Gullick has described following functions under the catchword 'PODSCORB' where:

| | | |
|---|---|---|
| P | = | Planning |
| O | = | Organizing |
| D | = | Directing |
| S | = | Staffing |
| CO | = | Coordination |
| R | = | Reporting |
| B | = | Budgeting |

A detailed discussion of each of the important functions or process of management will take place in separate unit for each in this book; here a brief description is given about what each function refers to:

**1. Planning:** Planning is the conscious determination of future course of action to achieve the desired goals. It is to determine: What to do? When to do? Where to do? How to do? By whom it should be done? Therefore, planning may be regarded as a process of determining and decision making. It includes the following activities:

- To forecast and determine objects of enterprise
- To decide the policy and to decide the methods of working
- To frame the rules
- To prepare the budget
- To draft a programme

In the words of M. E. Hurle - "Planning is deciding in advance what is to be done in future. It involves the selection of objectives, policies, producers and programmes for attaining enterprise goals." Planning bridges the gap from where we are to where we want to go. It is a prerequisite to doing anything. Proper planning is must to ensure proper utilization of human and non-human resources to achieve the desired goals. It has to be done at all levels of management. Since planning involves taking important decisions, top management devotes more time on planning as compared to low-level management.

Plans give the organization its objectives and set up the best procedure for reaching them. In addition, plans permit (1) the organization to obtain and commit the resources required to reach its objectives, (2) members of the organization to carry on activities consistent with the chosen objectives and procedures, and (3) the progress towards the objectives to be monitored and measured, so that corrective action can be taken if progress is unsatisfactory. Thus planning is done with the aim of chalking out future course of management action. Its main purpose is to provide a guideline for individuals engaged in the business enterprise. In its essence, planning is a process of decision-making after a through evaluation of alternatives course of action.

**2. Organizing:** The second important function of modern management is organizing. The process of organizing is very essential for accomplishing the objectives of the firm. Once managers have established objectives and developed plans or programs to achieve them, then they must organize human and physical resources of the firm. They must design and develop an organization that will enable members to carry out the chosen programmes successfully. Organizing includes the provision of physical facilities, capital and personnel. It is also concerned with the determination of relationships among functions, jobs and personnel.

Viewed broadly organizing is the process of dividing work into convenient tasks or duties, grouping of such duties in the form of positions, grouping of various positions into departments and sections, assigning duties to individual positions, and delegating authority to each position, so that the work is carried out as planned. According to Fayol, "To organize a business is to provide it with everything useful to its functioning." According to Koontz and O'Donnell, organizing consists of conscious coordination of people towards a desired goal. It involves "the establishment of an intentional structure of rules by indentifying and listing the activities required to achieve the purpose of an enterprise, the grouping of these activities, the assignment of such groups of activities to a manager, the delegation of authority and informational relationships horizontally and vertically in the organisation structure."

A sound organization structure is essential for effective and profitable performance. Without proper

organization, there may be duplication of effort, inadequate attention to certain important functions, unwanted rivalry and friction among personnel, and delays in decision making.

**3. Directing:** The third basic function of management is directing. While planning tells us what to do and organizing tells us how to do it, directing tells us why the employees should want to do it. When any managerial decision is taken, it must be transformed into action by proper execution. Effective execution or implementation of a decision is possible by 'Direction'.

According to Terry, "Directing means moving to action and supplying simulative power to group of persons." So management guides and leads them continuously. It imparts instructions to them, communicates them orders, rules and decisions, motivates, provides leadership and guidance, supervises their work and behaviors, inspires them towards improved performance of their activity.

The directing function involves these sub-functions:

(i) Communication
(ii) Motivation
(iii) Leadership and
(iv) Supervision & Command

**(i) Communication:** Communication is the process of passing ideas, views, facts, information and understanding from one person to another. This process is necessary for making the subordinates understand what the management expects from them.

Chester I. Barnard viewed communication as "The means by which people are linked together in an organisation to achieve a common purpose." It is a two-way process and is complete when it is received by the receiver. A manager to be successful must develop an effective system of communication so that he may issue instructions, receive the reactions of the subordinates, guide and motivate them. Through proper communications a manager can create a feeling of belongingness on the part of the subordinates.

**(ii) Motivation:** The motivation means to encourage the people through wishes, desires, drives, inspirations so that they may do better and more for the accomplishment of the objects of an organisation. Motivation is the process of indoctrinating personnel with unity of purpose and the need to maintain continuous harmonious relationship.

A successful manager should study the behaviour of individuals working under him to provide them proper inducements. To some personnel, financial incentives are important while other are motivated by non pecuniary incentive; like job security, job enlargement, freedom to do work and recognition.

A number of studies have shown that motivation plays a crucial role in determining the level of performance of employees. The most important task of management therefore, is to motivate employees so that they may direct their energies for the accomplishment of organizational goals.

**(iii) Leadership:** After plans have been formulated and the structure of organization has been determined, it is must to lead the employees towards organizational goals. Leadership may be defined as the process by which a manager guides and influences the work of his subordinates. A manager must possess the leadership skill if he has to get others to follow him and accept his directions.

Leadership skill involves: (1) the ability to comprehend human behaviour, (2) the ability to develop a climate to respond and to arouse motivation (3) the ability to inspire, and (4) the ability to use power effectively,

**(iv) Supervision & Command:** Supervision is necessary because decisions must be made on what is to be done, how, by whom, and when. Compliance with a plan is also needed; otherwise action would be confused and cooperation would break down.

And the objective of command for every manager is to get the optimum return from all employees of his unit. It is 'issuing orders and instructions' to subordinates. By way of supervision, a manager organizes the work and its flow, determines what people can produce, how well they produce and represents management

**4. Staffing:** Staffing is an executive function which involves the recruitment, selection, training, developing, compensating, promotion, demotion and maintaining human resource in an organisation. The object of staffing is to take right man for the right job.

Koontz and Weihrich regard staffing as a separate managerial function for the following reasons:

- It gives importance to organisational roles and places emphasis on 'human element'.
- A body of knowledge exists in the area of staffing.
- Managers often overlook the fact that staffing is their responsibility.

**5. Coordination:** Coordination means the harmonious adjustment of various activities of an organization so that predetermined objects of the organisation may be attained. The task of co-ordination is essentially a matter of seeing that activities are performed in the proper sequence and at the proper time.

Modern business organisation have grown is size and in character. A large number of people work there in so coordination has become very necessary in modern business. Some authors of Management Science consider coordination as a separate function of management while many others call it as 'essence of manager ship'.

In the words of Koontz and O'Donnell, "The best coordination occurs when individuals see how their jobs contribute to the dominant goals of the business enterprise. This implies knowledge and understanding of business enterprise objective."

**6. Controlling:** Ensuring that the objectives and plans of the organization are achieved is known as the "controlling" function. Trough the controlling function, the manager can keep the organization on the right track and not let it stray too far from its goals. In the words of Henry Fayol, "In an undertaking control consists in verifying whether everything occurs in conformity with the plan adopted, the instructions issued and principles issued." Thus the control is a measuring and corrective device for management.

Controlling exists at every managerial level. It operates on everything - activities, resources, and persons. E.F.L. Brech defined control as the process or checking actual performance against the agreed standards or plans, with a view to ensuring adequate progress or satisfactory performance and also recording such experience as is gained as a contribution to possible future needs.

The Process of control involves following three things:

- Establishing standards of performance.
- Measuring current performance and comparing it against the established standards.
- Taking action to correct performance that does not meet those standards.

**7. Representation:** Representation means the representing business concern to outside world. As the leader of business organizations managers have an onerous responsibility of representing the organisation before the interested groups - government officials, trade unions, customers, employees, financial institutions

and suppliers and general public. This function is important due to growing awareness of corporate social responsibilities.

**8. Innovation:** The famous modern thinker Peter Drucker says that "Managing a business must be creative rather than an adaptive task". The management must try to create new product, practices, new ideas and new quality or devising new methods of work by looking at the needs of the future plans of organisation. Furthermore, the function of innovation involves preparing human resources and organisation for upcoming challenges otherwise the business organisation will become state and static in every aspect. In other words "The real manager is always an innovator".

## 2.3 Nature of Management Functions or Process

Nature of management functions can be identified in following terms, as described below:

**1. Management Functions are Universal in Nature:** Management functions are universal because a manager has to perform all these managerial functions in the organisation irrespective of his level or type of organisation. However, the managerial functions may be adjusted in accordance with the needs of a particular business organisation. Managerial functions are required not only in business but also in every field of life also. Therefore, it is clear that the managerial functions are universal in their nature.

**2. Transfer Ability of Managerial Knowledge:** Managerial knowledge cannot be confined to a particular department or a particular business enterprise or particular area. It can be transferred from one department to another, from one enterprise to another, from one industry to another and from one place to another.

**3. Managerial Functions are Interactive:** This means that managerial functions are interrelate with each other or all managerial functions can be thought of as sub functions of each other.

**4. A Sequence of Managerial Functions is Always not Possible:** Although the management process suggests a sequential arrangement of functions, it is not possible always. Sequential concept may be adopted by a new organisation. But for an on-going organisation, it is not necessary to insist on a special time sequence for the various functions of management process. In general several functions may be performed at the same time.

**5. It Cannot Be Pointed Out, Which Managerial Function is More Important:** The relative importance of the management functions can be identified in the context of management levels only.

## 2.4 Relationship among the Management Functions

What is the relationship among the managerial functions? The only answer is that they are all necessary and are related and interrelated to each other as shown in Figure 2.1.

Above discussed functions of management are inter-related to each other. They are not independent

and do not attach any more or less importance in any aspect. No one management function can be performed without involving the others. Actually, managing is a composite process of all functions. It is a circular in nature. So there is no beginning or end in this process. The only thing in this is that the relative emphasis on different management functions changes according to situation of business and in the context of management levels only.

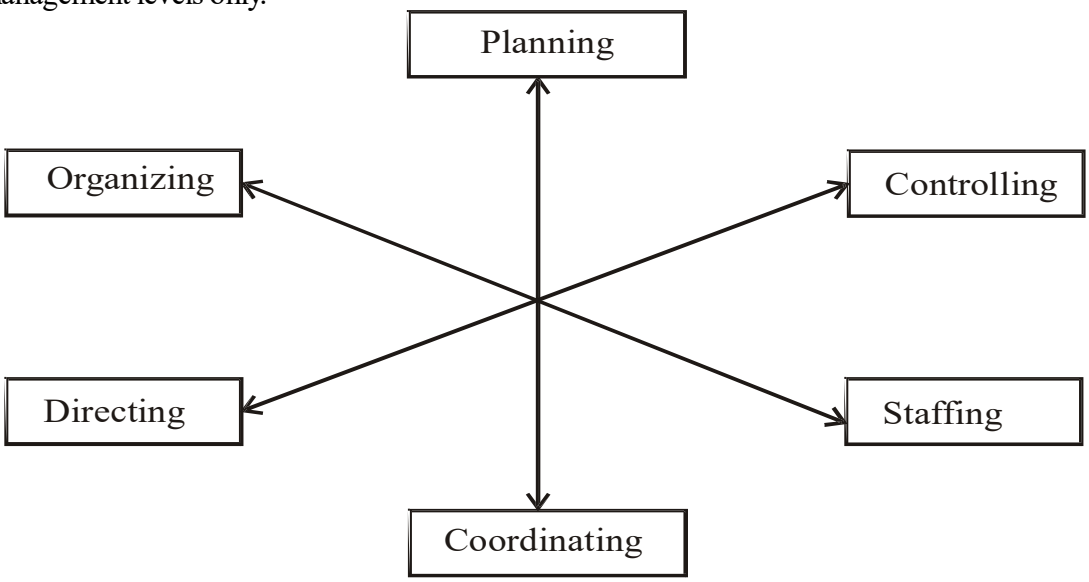


**Fig. 2.1 Relationship among Managerial Function**

## 2.5 Levels of Management

Levels of management means a line of separation between different positions held by seniors and juniors, to distinguish each other in respect of their duties, responsibilities, rights and authority.

In the early stages of business mostly two levels existed in the organizational hierarchy, one consisting of the owner and the other that of the supervisor of manager who control and supervise the work of labour. With the increase in the size of business and labour force it became difficult for chief executives to manage the number of supervisors and hence there developed a third level of management, called 'middle management'.

The number of levels of management increases when the size of the business and work-force increases because there is a limit of number of subordinates a person can supervise. Therefore, in order to make supervision effective, levels of management are increased. But most executives agree that the levels should be as few as possible. A large number of levels of management are not desirable for the following reasons:

- Large number of levels complicates the problem of communication.
- Large levels make the task of co-ordination and control difficult.
- Large number of levels in management increase cost.
- Large levels are demoralizing as those at the last level feel neglected.
- Large levels increase impersonality as personal touch is lost.

On account of these weaknesses it is always desirable to restrict the levels of management to as small a number as possible. "As urwick says "In determining the number of levels which are necessary, prime regard should be paid to the span of control and not vice versa. Forcing managers to exceed their feasible span of control merely in order to reduce the number of levels will increase administrative and social distance."

But the exact number of levels cannot be restricted. Koontz, and O'Donnell and E.F.L. Brech have classified management into two levels, such as top level and supervisory level, while Keith Davis has classified various management levels, as trusteeship management, general management, departmental management, middle management and supervisory management. Certain others have mentioned of five activity levels.

Broadly levels of management consist of the following (see figure 2.2)

**1. Top Management**

**2. Middle Management:**

**(a) Intermediate or Upper Middle Management**

**(b) Middle Management**

**3. Operating/Lower Level/Supervisory/First Line Management**

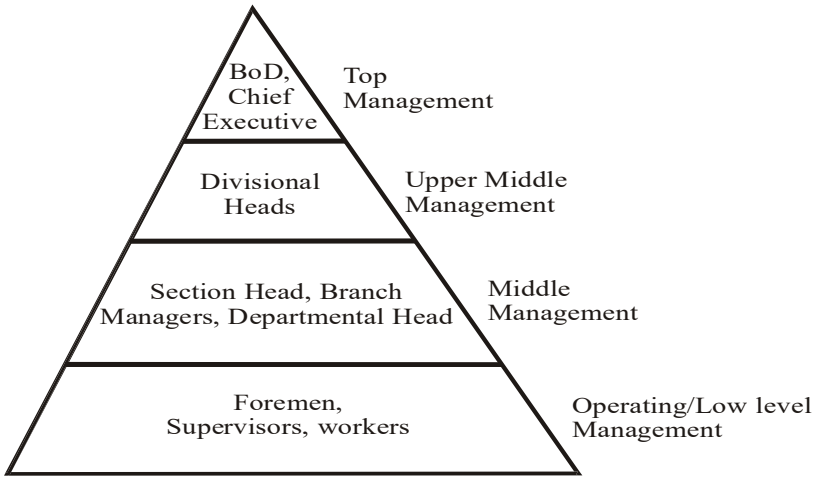


**Fig. 2.2 Levels of Management**

Management is a "three-level activity", the top level centers around the determination of mission, objectives and policies of the enterprise; the middle level is concerned with the implementation of the policies and programmes set by the top level; and the lower level assists in the achievement of the set goals.

**1. Top Management:** Top management of a company comprises of Chairman, President, Vice President, Chief Executive Officers, Board of Directors, and Managing Directors etc. This is the policy-making group responsible for performance of entire organisation. They are ultimate source of authority and they establish overall goals, plans, strategies, and broad operating policies and guidelines of the company.

Top management of a concern performs all the function of management, namely, planning, organizing, directing and controlling. In comparison to middle or lower level management top management spends more time on planning and organizing. It is responsible to the shareholders or owners of the concern for its overall management. All the policy decisions of the business are taken by the board of directors and the chief executive and they periodically review the implementation of various business decisions.

According to B.Yill, "It is the function of top management to watch, interpret, exploit or where necessary, counter external influences with appropriate decisions and plans, and to initiate the appropriate adjustments in the functional authority and status structures of the organization. It is top management's duty to protect the integrity of the organization so that it can survive for its own employees, the shareholders', suppliers' and customers' interests and for the general good of the social and economic system within which it operates."

The Board of directors concerns itself with review and decision upon matters of major importance to the concern's success. The Board reserves authority and responsibility for deciding long-term objectives, policies, programmes, and budgets that apply to the concern as a whole, it approves the overall concern organisation and exercise control through review of overall financial and operating result of that concern. Brech has summed up the responsibilities of Board of Directors as "the formulation of policy and the overall control of the organization." Koontz and O'Donnell have stated the following functions of Board of Directors:

- Trusteeship;
- Determination of enterprise objectives;
- Selection of Chief Executive;
- Check on plans and results;
- Approval of budgets;
- Securing long-range business stability;
- Distribution of earnings;
- Asking discerning questions.

The operative work of the Board is relatively limited in nature. It is performed by the chief executive of the concern who is appointed by the Board. It should be noted that the Board of Directors is not to act simply as figureheads or rubber stamps. They are expected to provide "invaluable support to the chief executive as mentors, counselors and critics."

The Chief Executive is the managing director or president of the business concern. He is a member of the Board and represents a link between the Board and other managerial personnel. He has the important task of interpreting the policy of the board to the rest of the management. He has to ensure that policies and programmes laid down by the board of directors have been understood by all the employees. The chief executive thinks and takes business decisions for the long-run welfare of the business enterprise. He puts into effect the policy decisions taken by the Board and maintains effective coordination in the business organisation. Brech has stated the following functions of the chief executive:

- To act as a link between the Board and the rest of the organization ;
- To carry into effect the policy laid down by the Board;
- To ensure that subordinates have a general understanding of the company's policy and its main implications;
- To ensure that among all executives there is a sound understanding.

So we can conclude that the main functions of top management are:

- Determination of objectives, goals, vision;
- Formulation of policies and plans;
- Setting up of organisational structure of frame work;
- Assembling various resources;
- Controlling.

From the nature of functions of top managers, it is clear that they are expected to possess and use more conceptual skill than human and technical skills. The members of the top management of concern should have the ability to develop new concepts and to visualize the business enterprise as a whole.

**2. Middle Management**: Middle management acts with and under top management to accomplish the objectives of the organisation. Mary C. Nils, in his book 'Middle Management' has laid down the seven functions of middle management, which are as follow:

- To run the most of the functions of organization, leaving the top officers as free as possible so that they can spend more time towards strategic part.
- To cooperate in smoothly functioning of organisation.
- To understand the interlocking of departments towards implementation of policies.
- To achieve the coordination between the different parts of the organisation.
- To build up efficient personnel, where reward is given according to capacity and merit and not according to change or length of service.
- To develop leaders for the future by broad training and development.
- To build and increase a company spirit where all are working to provide a product or service wanted by ultimate customer in an effective manner.

Middle management can be classified in upper middle management and simple middle management. The detail description is as follows:

**(a) Intermediary or Upper Middle Management:** This level generally consists of divisional and departmental heads such as the production manager, marketing manager, personnel manager, finance manager. The functional managers are responsible for the efficient functioning of their units within the framework of the goals and policies decided by the top management. They act as buffer between the top managers and subordinate managers. Their responsibility is to translate executive orders into operation, implement plans, and directly supervise lower level managers.
They are largely concerned with realizing short term goals and the day-to-day operations of their departments. At this level they become more and more involved with achievement in the short run. They have to set targets and agreed priorities in a more quickly moving situation as they are concerned with specific results.

**(b) Middle Management:** In organizations where upper middle management exists, this category consists of deputy heads of departments, sectional officers, plant managers, office managers, branch managers, area sales managers, chief accountant, purchase officer, technical and engineering personals etc. These managers have to keep a constant watch on the day-to-day performance and they are concerned with the carrying out of task assigned to them by the departmental managers. They issue detailed and specific instructions regarding operations to first line or junior managers and supervise their work. They also communicate problems, difficulties, and suggestions upward.

**3. Operating/Lower Level/Supervisory/First Line Management:** This level consists of plant superintendent, senior foreman, clerical supervisor, lab supervisor, accounts officer, etc. It is the lowest level in an organization at which individuals are responsible for the work of others is called first-line or first-level management.

The essential feature of this level of management is that managers at this level are in direct contact with the operative employees of the concern. They implement the policies of top management communicated to them by the middle level manages of the concern. The plans and objectives set by the top management cannot be achieved well if the foremen and operatives do not have better understanding and informal relationship.

This level of management represents a link between the middle management and the workers of the concern. They plan day to day production schedules within the goals set from above. They assign tasks to the operative employees, guide them and take corrective action on the spot. So they should possess more of technical skill. They must also possess the requisite human skill as they have to deal with the workers of concern to get things done from them. They are responsible for developing harmonious relations among the workers and help them in solving their work problems. They must represent the concern of the workers and the workers to the concern.

They perform the control function by evaluating the performance of operative force and then communicate the information to higher in the business organisation. The main functions of supervisory management level have been stated as follows:

- Plans day-to-day production within goals set from above.
- Assigns personnel to specific jobs and tasks.
- Watches hour-to-hour results.
- Reports feed-back information daily.
- Takes corrective action on the spot.
- Evaluates personnel from standpoint of immediate needs.
- Implements policy decisions within the limitations set by higher echelons.

From the above discussion, it can be concluded that all managers-top, middle and first line, perform the same managerial functions in their business concern. The main difference between their jobs in terms of management functions is emphasis. The top management of concern spends more time on planning and organizing than does the middle or first line management of the concern. The middle management spends more time in directing and controlling than the top management of the organisation. The first line managers spend a great deal of time in directing the workers of the concern. But most managers, at various times, perform all the managerial functions through in varying degrees.

## 2.6 Mintzberg's Managerial Roles

The term 'Managerial Roles' refers to behaviours attribute to a job or position. After examining the work of five chief executives, Mintzberg concluded that every manager plays ten roles which are classified into following three categories:

**1. Interpersonal Roles**

**2. Information Roles, and**

**3. Decisional Roles**

These roles are shown in Figure 2.3 and are described below:

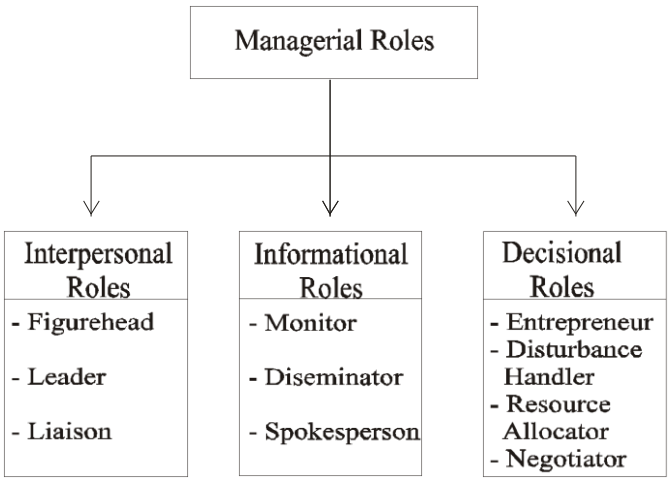


**Fig. 2.3 Roles Played by Managers**

**1. Interpersonal Roles:** Three interpersonal roles help the manager keep the organization running smoothly. Thus, although the duties associated with these roles are often routine, the manager cannot ignore them.

The first interpersonal role is that of figurehead. As head of a unit, the manager sometimes acts as a figurehead by performing certain ceremonial duties - greeting visitors, attending a subordinate's wedding, taking a customer to lunch, and so on. Second, the manager adopts the leader role - hiring, training, motivating, and encouraging employees. First-line managers, in particular, feel that effectiveness in this role is essential for successful job performance. Finally, the manager must play the interpersonal role of liaison, by dealing with people other than subordinates or superiors (such as peers within the organization and suppliers or clients outside of it).

**2. Informational Roles:** Mintzberg suggests that receiving and communicating information are perhaps the most important aspects of a manager's job. A manager needs information in order to make the right decisions, and others in the manager's unit or organization depend on the information they receive from and transmit through the manager.

There are three informational roles in which managers gather and disseminate information. The first is the monitor role. As monitor, the manager constantly looks for information that can be used to advantage. Subordinates are questioned, and unsolicited information is also collected, usually through the manager's system of personal contacts. The monitor role usually enables the manager to be the best informed member of his or her group. Second, in the disseminator role, the manager distributes to subordinates important information that would otherwise be inaccessible to them. Finally, as a spokesperson, the manager transmits some of the information he or she has collected to individuals outside the unit-or even outside the organization. Keeping superiors in the organization satisfied by keeping them well informed is one important aspect of the role of spokesperson.

**3. Decisional Roles:** There are four decision roles the manager adopts. In the role of entrepreneur, the manager tries to improve the unit. He initiates planned changes to adapt to environmental challenges. As disturbance handlers, managers respond to situations that are beyond their control such as strike, shortages of materials, complains grievances etc. in the role of resource allocator managers are responsible for allocating human, physical and monetary resources. As negotiators managers not only mediate in internal conflicts but also carry out negotiations with other units to gain advantages for their own unit.

**Mintzberg's 10 Management Roles: Description and Activities**

| | Roles | Description | Identifiable Activities |
|---|---|---|---|
| A. | Interpersonal | | |
| | 1. Figurehead | Symbolic head; obliged to perform a number of routine duties of a legal or social nature | Ceremony, status, requests, solicitations |
| | 2. Leader | Responsible for the motivation and activation of sub-ordinates; responsible for staffing, training and associated duties. | Virtually all managerial activities involving subordinates |
| | 3. Liaison | Maintains self-developed network of outside contacts and informers who provide favour and information. | Acknowledgements of mail, external board work, other activities involving outsiders. |
| B. | Informational | | |
| | 1. Monitor | Seeks and receives wide variety of special information (much of it current) to develop a thorough understanding of the organisation and environment; emerges as nerve centre of internal and external information of the organisation. | Handling all mail and contacts, which are primarily informational, such as periodical news and observational tours. |
| | 2. Disseminator | Transmits information received from outsiders or from subordinates to members of the organisation; some information factual, some involving interpretation and integration. | Forwarding mail into the organisation for informational purposes, verbal contacts involving information flow to subordinates including review sessions and spontaneous communication. |
| | 3. Spokesperson | Transmits information to outsiders on the organization's plans, policies, actions and results; serves as expert on the organization's industry. | Board meetings, handling mail and contacts involving transmission of information to outsiders. |
| C. | Decisional | | |
| | 1. Entrepreneur | Searches the organisation and its environment for opportunities and initiates "improvement projects" to bring about change; supervises design of certain projects as well. | Strategy and review sessions involving initiation or design of improvement projects. |
| | 2. Disturbance Handler | Responsible for corrective action when the organisation faces important, unexpected disturbances. | Strategy and review involving disturbances and crises. |
| | 3. Resource Allocator | Responsible for the allocation of organizational resources of all kinds in effect the making or approving of all significant organisational decisions. | Scheduling, requests for authorization, any activity involving budgeting and the programming of subordinates work. |
| | 4. Negotiator | Responsible for representing the organisation at major negotiations. | Negotiation. |

Thus, Mintzberg's concept of the manager's job offers a useful reminder that our definition of management as a series of functions - planning, organizing, leading and controlling - is a somewhat idealized but useful overview of what managers try to do. In fact, managers operate in a constantly changing environment. Although they attempt to follow systematic and rational procedures, they are often interrupted in their work.

## 2.7 Management Skills versus Management Levels

In order to be effective, a manager must possess and continuously develop several essential skills. Robert L Katz, an educator and business executive, has identified three basic types of skills – technical, human and conceptual - which he says are needed by all managers.

**Technical skill** is the ability to use the tools, procedures, and techniques of a specialized field. A ~~surgeon, an engineer, a musician, and an accountant all have technical skill in their respective areas. The~~ manager needs enough technical skill "to accomplish the mechanics of the particular job" he or she is responsible for.

**Human skill** is the ability to work with, understand and motivate other people. This skill is essential at every level of management within the organisation, but it is particularly important at lower levels of management where the supervisor has frequent contact with operating personnel.

**Conceptual skill** is the mental ability to coordinate and integrate all of the organization's interests and activities. It involves the manager's ability to see the organization as a whole and to understand how its parts depend on each other. It also involves the manager's ability to understand how a change in any given part can affect the whole organization. A manager needs enough conceptual skill to recognize how the various factors in a given situation are interrelated, so that the actions he or she takes will be in the best interest of the total organization.

Although all these skills are essential for effective management but their relative importance to a specific manager depends on his or her rank in the organization. Technical skill is most important at the lower levels of management; it becomes less important as we move up the chain of command. A production supervisor in a manufacturing plant, for example, is likely to need more technical skill than the company president, because he or she will have to deal with the day-to-day manufacturing problems that arise.

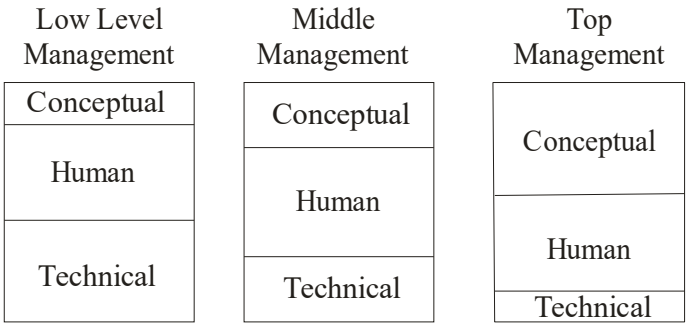


**Fig 2.4 Relative Skills Needed for Effective Performance at Different Levels of Management**

On the other hand, the importance of conceptual skill increases as we rise in the ranks of management. The higher the manager is in the hierarchy, the more he or she will be involved in the broad, long-term decisions that affect large parts of the organisation. For top management, which is charged with the responsibility for overall performance conceptual skill is probably the most important skill.

Human skill is very important at every level of the organisation. One reason behind this is, because managers get their work done through others: high technical or conceptual skills are not very valuable if they cannot be used to inspire and influence other organization members.

## 2.8 Summary

Management is a 'systematic way of doing things' (Process) to emphasize that all managers engage in certain interrelated activities in order to achieve their desired objectives. Many authorities and scholars on management have tried to discuss the functions of management, but there is no unanimity among them about the nomenclature of the functions of management. Broadly we can classify management functions under two categories - Operating Functions, Managerial Functions.

Functions of management are inter-related to each other and emphasis on different management functions changes according to situation of business and in the context of management levels. Levels of management means, a line of separation between different positions held by seniors and juniors, to distinguish each other in respect of their duties, responsibilities, rights and authority. Broadly levels of management consist of Top Management, Middle Management (Intermediate or Upper Middle Management, Middle Management), and Operating/Lower Level/Supervisory/First Line Management. All managers - top, middle and first line, perform the same managerial functions in their business concern. The main difference between their jobs in terms of management functions is emphasis. The top management of concern spends more time on planning and organizing. The middle management spends more time in directing and controlling than the top management of the organisation. The first line managers spend a great deal of time in directing the workers of the concern.

Mintzberg concluded that every manager plays ten managerial roles which are classified into three categories: 1. Interpersonal Roles (Role of figurehead, leader, liaison) 2. Information Roles (role of disseminate, monitor, spokesperson) 3. Decisional Roles (Role of an Entrepreneur, disturbance handlers, resource allocator, negotiators). Mintzberg concept of the manager's roles offers a useful reminder that our definition of management as a series of functions - planning, organizing, leading and controlling - is somewhat idealized but useful overview of what managers try to do.

In order to be effective, a manager must possess and continuously develop three basic types of skills – technical, human and conceptual. Although all these skills are essential for effective management but their relative importance to a specific manager depends on his or her rank in the organization. Technical skill is most important at the lower levels of management, for top management, which is charged with the responsibility for overall performance, conceptual skill is probably the most important skill and as managers get their work done through others so, human skill is very important at every level of the organisation

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